

# FT e-paper briefing

DAMODARAN LENS · 2026-06-10 · REPRESENTATIVE SAMPLE

## FT e-paper briefing — 10 June 2026 (Wednesday Edition)

\*Representative briefing. Public sample of the morning research format: structured market read grounded in that day's FT, with a valuation-framework perspective per story. Personal portfolio sections (watchlist alerts, position-level read-through, next steps) are omitted from this public version. The Damodaran perspective paragraphs apply his published valuation framework to each story and are illustrative, not direct quotations.\*

Pages processed: p.1–23 (all)

Themes: semiconductor capital intensity · private-credit pricing power · pharma pipeline option value · IPO supply/demand · export cycle propagation · railway infrastructure renewal

### KEY NEWS

- **TSMC capex breaks \$50bn record** (p.1 Briefing) — The foundry lifts annual capex past \$50bn, the clearest single read that the AI fab build-out is still accelerating, not topping.
- **GSK pays \$10.6bn for Nuvalent** (p.8) — All-cash oncology bet adds two late-stage lung-cancer assets at a ~35% premium; framed as a refill for the post-2030 patent cliff.
- **Apollo and Blackstone lead \$35bn OpenAI data-centre financing** (p.10) — Largest single private-credit AI-infrastructure facility to date: ~\$22bn senior secured + ~\$13bn preferred, implied cost ~9–10%.
- **OpenAI files S-1; SpaceX confidentially files at \$1.78tn** (p.13) — Frontier-lab and space-economy comparables are about to become public-equity marks; Anthropic expected to dual-file within weeks.
- **China exports +9% YoY in May on AI-linked demand** (p.6) — AI servers, optical components and rare-earth derivatives drove the beat; underlying pull traced to US/EU hyperscaler build-outs.
- **ASML chief warns EU against intervening in chip supply chains** (p.10) — Fouquet argues US export controls are constraint enough; more EU industrial policy risks Balkanising lithography supply.
- **Flood of mega-listings sparks Wall Street demand-limit warnings** (p.1) — 100+ companies tapped US markets in a month; strategists warn supply is overwhelming demand, with after-market pops fading.
- **Pentagon reinstates Alibaba, Baidu and BYD on military-companies list** (p.6) — Triggers federal procurement bans and widens the existing "policy discount" on the names.
- **Apple overhauls Siri with on-device LLM at WWDC** (p.11) — Privacy-first Apple Intelligence v3 with optional ChatGPT/Anthropic fall-through; still catching up, but distribution moat is ~2bn iPhones.
- **GM pushes US sodium-ion battery development** (p.14) — Detroit/Korea JV targets LFP cost parity for entry-level EVs; read-through pressures lithium names, helps sodium suppliers.
- **BP's "misnamed kingdom" needs an overhaul, top holders say** (p.12) — Top-15 investors challenge the pivot-back-to-oil strategy on relative underperformance vs Shell and Exxon.
- **Trump says US "must respond" after Iran downs Apache over Hormuz** (p.1) — Oil ticked up; equities digested the escalation calmly.

### COMPANIES & MARKETS

#### 1. TSMC capex breaks the \$50bn record (p.1 Briefing)

TSMC has lifted annual capital spending past \$50bn for the first time, an all-time record and the single cleanest signal that the AI fab build-out is still accelerating rather than peaking. The number ratifies the demand read coming off China's export beat and the hyperscaler order book, and it lands the same week as the Apollo–Blackstone OpenAI financing — capex at the foundry, the data centre and the lender all pointing the same direction. The market question is no longer whether AI capital intensity is rising, but whether the return on that capital justifies the reinvestment. Leading-edge nodes carry brutal fixed costs; the bull case requires utilisation and pricing to hold as the node curve advances.

**\*Damodaran perspective:\*** Damodaran's reinvestment-rate  $\times$  return-on-capital framework is the right lens. Capex of this scale only creates value when incremental ROIC stays above WACC — record reinvestment paired with a falling marginal return is value-destructive growth, the trap he repeatedly flags for capital-intensive cyclicals. For TSMC the saving grace is pricing power at the leading edge: a near-monopoly on the most advanced nodes lets it push price to defend margins. The discipline is to model the reinvestment rate explicitly and ask what terminal ROIC the current valuation is implicitly assuming.

## **2. GSK bolsters oncology with \$10.6bn Nuvalent deal (p.8)**

GSK has agreed to buy US cancer-biotech Nuvalent for \$10.6bn all-cash, a ~35% premium, adding two late-stage lung-cancer assets (zidesamtinib for ROS1+ NSCLC and NVL-655 for relapsed disease). Management frames it as a catalyst to refill the late-stage pipeline ahead of the post-2030 patent cliff on dolutegravir and Trelegy. The Street's initial read is "rich but strategically defensible if the data holds" through registrational read-outs in H2-26. Funding is cash plus new debt, so the deal also nudges the balance-sheet calculus.

**\*Damodaran perspective:\*** A pre-revenue pipeline acquisition is an option-on-an-option, and Damodaran's pharma R&D-as-real-option framing applies directly — the \$10.6bn is a premium paid for probability-weighted future cash flows, not current earnings. The control premium is only justified if GSK can change the probability of success or the scale of commercialisation that Nuvalent could not achieve standalone; otherwise it is overpaying for optionality the market already priced. The honest valuation treats the late-stage assets as a portfolio of risked DCFs and tests how much of the premium survives a single failed registrational read-out.

## **3. Apollo and Blackstone lead \$35bn OpenAI data-centre financing (p.10)**

Apollo and Blackstone are leading a \$35bn jumbo private-credit and structured facility for OpenAI's data-centre build-out alongside Oracle, Crusoe and Vantage — roughly \$22bn senior secured plus ~\$13bn preferred equity, at an implied cost of ~9–10%. It is the largest single private-credit AI-infrastructure facility to date and signals two things: public markets cannot yet absorb the scale of hyperscaler capex, and private-credit pricing power for AI infrastructure is real and durable. The principal risk is a refinancing wall if AI revenue runs behind the data-centre amortisation schedule.

**\*Damodaran perspective:\*** Damodaran's cost-of-capital lens reframes the headline: a ~9–10% all-in cost for senior-secured plus preferred is the market's collective estimate of the risk in AI infrastructure cash flows, and it sits well above investment-grade utility-style infrastructure precisely because the revenue is unproven. The preferred slice is quasi-equity — its pricing tells you the lenders are not convinced this is true infrastructure-grade risk yet. The structural watch-item is asset-liability mismatch: financing a long-lived, fast-depreciating asset against revenue that has to scale into the amortisation schedule is exactly where infrastructure debt theses succeed or fail.

## **4. OpenAI files S-1 in a race with Anthropic; SpaceX files at \$1.78tn (p.13)**

OpenAI has publicly filed its S-1 targeting a late-2026 listing, with Anthropic widely expected to dual-file within weeks; separately SpaceX has confidentially filed at an indicative \$1.78tn valuation contingent on Starlink direct-to-cell and Starship milestones. The implication is that the two frontier labs are about to become public-equity comparables, and the multiples of Microsoft, Google and Meta will move with them. The SpaceX number — roughly 60x Starlink revenue — is heroic and hinges on terminal Starship cadence. Volatility is incoming as private marks meet public price discovery.

**\*Damodaran perspective:\*** This is Damodaran's story-to-numbers discipline in its purest form — a \$1.78tn valuation is a narrative (Mars optionality, direct-to-cell, launch cadence) that has to be disciplined into a revenue path, a margin and a reinvestment requirement before it is a value. He would caution that "narrative pricing" dominates frontier-tech listings until a public float forces convergence to fundamentals, and that early comparables anchor the whole cohort. The useful exercise is reverse-DCF: solve for the revenue and margin the price already assumes, then judge whether that story is plausible rather than merely possible.

## **5. China exports surge 9% on AI-linked demand (p.6)**

China's overall exports rose 9% year-on-year in May, with AI servers, optical components and rare-earth-derived products driving the beat. Customs data show hardware shipments increasingly routed via ASEAN and Mexico (transshipment), but the underlying pull traces back to US and EU hyperscaler build-outs — evidence the AI capex cycle is propagating globally, not just into the US mega-caps. The same day, the Pentagon reinstated Alibaba, Baidu and BYD on its military-companies list, a reminder that the policy overhang on Chinese tech is widening even as the export cycle strengthens.

**\*Damodaran perspective:\*** Damodaran's country-risk-premium framework is the discipline here: a strong export print does not erase the policy discount embedded in Chinese tech equity — it is a cash-flow positive layered on top of an elevated equity-risk premium and procurement-ban tail risk. The transshipment detail matters for valuation because it tells you the demand is real but the reported geography is not, which complicates any sector multiple built on headline numbers. The honest approach values the cash flows at the higher discount rate the policy regime warrants, rather than re-rating on a single month's customs data.

## **6. Flood of mega-listings tests the limits of Wall Street demand (p.1)**

More than 100 companies tapped US markets in the past month, raising record proceeds, and strategists are warning that supply is now overwhelming demand: IPO discounts are widening and after-market pops are fading. The fear is an air-pocket in aftermarket performance that chills the rest of the pipeline — directly relevant to the OpenAI and SpaceX filings queued behind it. In the UK the same dynamic plays in reverse, with the rumoured \$10bn Sycamore trade sale of Boots casting doubt on a marquee London IPO and denting City sentiment after a multi-year drought.

*\*Damodaran perspective.\** Damodaran's work on IPO pricing versus value is the frame: a listing flood is a supply shock to a market with finite risk capital, and when supply outruns demand the clearing price falls toward fundamental value — healthy for buyers, painful for sellers banking on the pop. He distinguishes pricing (what the market will pay relative to comparables today) from value (discounted cash flows), and warns that fading after-market pops signal the pricing premium compressing, not the value changing. For the frontier-lab cohort specifically, a chilled pipeline raises the cost of being last in the queue.

## **BIG READ – CAN GERMANY MAKE ITS TRAINS RUN ON TIME? (P.21)**

### **SUMMARY**

Germany is embarking on the largest post-war railway rebuild in Europe: Deutsche Bahn is launching a €166bn ten-year programme to renew its 40,000-km network, after long-distance punctuality fell to 62% against a Swiss benchmark of 92%. The article details "general renovation" corridor closures (the Riedbahn-style full-shutdown model), freight diverted via Belgium and the Netherlands during works, a contractor field led by Strabag, Hochtief and Bechtel-led joint ventures, and a €33bn signalling rollout of Siemens Mobility's ETCS digital train-control standard. Twenty-three corridors are flagged "priority" and the contractor backlog is running at twice its prior peak. The stakes are framed as national: success would unlock German manufacturing competitiveness by cutting freight cost and improving industrial logistics reliability; failure would deepen the deindustrialisation narrative. Cost overruns and politics are the two threats to the 2030 finish line, with investment in German rail infrastructure already soaring after decades of underspend since the turn of the century.

### **KEY POINTS**

- €166bn, ten-year programme to renew a 40,000-km network — Europe's largest post-war rail rebuild.
- Long-distance punctuality at 62% versus the Swiss 92% benchmark frames the credibility gap.
- Full-corridor-closure renovation model: shut a line entirely, rebuild fast, reopen — freight diverts via Belgium and the Netherlands.
- 23 corridors flagged "priority"; contractor backlog running at 2x prior peak.
- €33bn ETCS digital signalling rollout (Siemens Mobility) is the technology spine of the programme.
- Contractor field: Strabag, Hochtief and Bechtel-led JVs — capacity is itself a binding constraint.
- Cost overruns and political risk threaten the 2030 completion target.
- National-competitiveness framing: freight reliability and industrial logistics, not just passenger punctuality.

### **VALUATION-FRAMEWORK PERSPECTIVE**

Damodaran's infrastructure-as-regulated-cash-flow lens cuts through the headline number: a €166bn programme is only an investment if the renewed network generates incremental cash flows — lower freight cost, higher capacity utilisation, fewer delay penalties — that exceed its cost of capital, and a state-backed rail rebuild typically clears that bar on social return long before it clears it on a narrow project IRR. The investable read-through is downstream and more reliable than the operator itself: contractor backlog at twice prior peak and a multi-year €33bn signalling rollout convert political commitment into a visible, fundable order book for the engineering, signalling and materials suppliers — the same "pick the tier that gets paid regardless of who wins" logic that governs any infrastructure capex super-cycle. Damodaran would stress two disciplines. First, treat the cost-overrun risk as a fat tail, not a point estimate: mega-projects systematically blow budgets, so the contractor cash flows are real but the margin profile is optionality-laden and politically capped. Second, separate the durable demand driver (a decade of committed, backlog-visible spend) from the fragile equity story (DB's own balance sheet and the 2030 deadline) — the supply chain is where the compounding cash flow sits, while the operator carries the execution and political risk. The competitiveness framing is the macro kicker: if reliable freight logistics is genuinely a constraint on German manufacturing, the programme's terminal value is an economy-wide productivity uplift that no single project DCF fully captures — which is exactly why the public sector, not private equity, is the natural sponsor.